

# FOSTER v. IRBC2 PROPERTIES LLC et al

21CV45573

## DEFENSE DEMURRER; MOTION TO EXPUNGE LIS PENDENS

This is a wrongful foreclosure case. Before the Court this day are the following motions:

1. Motion to expunge lis pendens filed by defendant IRBC2 Properties;
2. Demurrer to the 1<sup>st</sup> (cancellation), 2<sup>nd</sup> (slander of title) and 7<sup>th</sup> (declaratory relief) causes of action, filed by defendant Orion Financial and Connie Riggsby;
3. Demurrer to the 1<sup>st</sup> (cancellation), 2<sup>nd</sup> (slander of title) and 7<sup>th</sup> (declaratory relief) causes of action, filed by defendant IRBC2 Properties.

### ***Motion to Expunge – Granted, Without Prejudice***

A *lis pendens* is a recorded document giving constructive notice to the world that an action is pending in the courts which may have an impact on the litigants' right or title to the property. (See *Park 1000 Investment Group II v. Ryan* (2010) 180 Cal.App.4<sup>th</sup> 795, 807; *Formula Inc. v. Superior Court* (2008) 168 Cal.App.4<sup>th</sup> 1455, 1462; *Palmer v. Zaklama* (2003) 109 Cal.App.4<sup>th</sup> 1367, 1375-1376.) Pursuant to CCP §§ 405.22 and 405.23, a claimant filing a notice of lis pendens must follow three steps:

1. Prior to recordation, serve by registered or certified mail, return receipt requested, a copy of the notice on all known owners and those with adverse claims to the property;
2. Concurrent with recordation of the notice, record a proof of service consistent with CCP §1013a. if service cannot be effectuated, a declaration of due diligence is needed (§405.22); and
3. Immediately following recordation of the notice and proof of service, file a copy of both with the court in which the action is pending.

Pursuant to CCP §405.23, the notice of lis pendens “shall be void and invalid” as to any adverse party or owner of record unless the above requirements have been met. Plaintiff concedes that his lis pendens (2021-017023) is technically deficient. Expungement is warranted; however, when expungement is based on technical violations, the claimant is free to refile. (*McNight v. Superior Court* (1985) 170 Cal.App.3d 291, 303.) Plaintiff offers to do so. As such, the offense is *de minimus*, and so shall be any award of fees. Counsel advises that his hourly rate is \$400 – which is above the “going rate” for this community of \$300. This Court finds that on a simple motion such as this, anything in excess of 2 hours is dilatory. **Counsel for defense is entitled to recover \$660.00 (2 hours plus filing fee) from plaintiff.**

As for the merits, while this Court could look past the procedural defects in this instance, the demurrers directed at the operative pleading, coupled with plaintiff's confession that some of the claims require amendment, means that a First Amended Complaint is all but guaranteed. Since the lis pendens must be tested against the operative pleading (see *Kirkeby v. Superior*

*Court* (2004) 33 Cal.4<sup>th</sup> 642, 647-648; *Campbell v. Superior Court* (2005) 132 Cal.App.4<sup>th</sup> 904, 911), testing it now would only be to offer an advisory opinion. Any issue involving a counterbond is MOOT.

***Demurrer to Complaint – Sustained, 30 days leave to amend***

A demurrer presents an issue of law regarding the sufficiency of the allegations set forth in the complaint. The challenge is limited to the “four corners” of the pleading (which includes exhibits attached and incorporated therein), or from matters outside the pleading which are judicially noticeable. The complaint is read as a whole. Material facts properly pleaded are assumed true, but contentions, deductions or conclusions of fact/law are not. In general, a pleading is adequate if it contains a reasonably precise statement of the ultimate facts, in ordinary and concise language, and with sufficient detail to acquaint a defendant with the nature, source and extent of the claim. (CCP §§ 425.10(a), 459; in accord, *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Gray v. Dignity Health* (2021) 70 Cal.App.5<sup>th</sup> 225, 236 n.10.)

Plaintiff’s first cause of action is uncertain. Pursuant to Civil Code §3412, “a written instrument, in respect to which there is a reasonable apprehension that if left outstanding it may cause serious injury to a person against whom it is void or voidable, may, upon his application, be so adjudged, and ordered to be delivered up or canceled.” To plead a cause of action for cancellation of instrument, plaintiff must show that he will be injured or prejudiced if the instrument is not cancelled, and that such instrument is void. (See *Robertson v. Superior Court* (2001) 90 Cal.App.4<sup>th</sup> 1319, 1323.) An “instrument” is “a written paper signed by a person or persons transferring the title to, or giving a lien on real property, or giving a right to a debt or duty.” (Government Code §27279.) Recordings not affecting title are not instruments. (See 5 Miller & Starr, Cal. Real Estate (3d ed. 2000) §11:6, pp. 19–35; *Sisemore v. Master Financial, Inc.* (2007) 151 Cal.App.4<sup>th</sup> 1388, 1399-1400; *Ward v. Superior Court* (1997) 55 Cal.App.4<sup>th</sup> 60, 64-65.) Plaintiff identifies a number of recordings, but it is not clear to this Court if plaintiff is seeking to rescind all of those recordings, or just some of them. Assuming the former, specific factual averments are required to illuminate a basis for cancelling each recording.

Plaintiff’s second cause of action is also uncertain. Slander of title occurs when a person publishes a false statement that disparages title to property and causes pecuniary loss. To state a claim for slander of title, a plaintiff must allege (1) a publication, (2) which is without privilege or justification, (3) which is false when made, and (4) which causes direct and immediate pecuniary loss. In general, instruments recorded in connection with a nonjudicial foreclosure proceeding are privileged communications under Civil Code §2924(d) and Civil Code §47, except in those rare instances when the publication either was (1) motivated by hatred or ill will towards the plaintiff, or (2) that the defendant lacked reasonable grounds for belief in the truth of the publication and acted in reckless disregard of the plaintiff’s rights. (*Schep v. Capital One, N.A.* (2017) 12 Cal.App.5<sup>th</sup> 1331, 1336-1338; *Kachlon v. Markowitz* (2008) 168 Cal.App.4<sup>th</sup> 316, 335-336.) Plaintiff references different documents, and claims that some of them were unauthorized, but fails to address the privileged nature of most of those.

Plaintiff’s seventh cause of action is adequately pled, but the precise declaration sought is unclear. The essential elements of a declaratory relief cause of action are (1) an actual controversy between the parties regarding contractual or property rights (2) involving

continuing acts/omissions or future consequences, (3) which has sufficiently ripened to permit judicial intervention and resolution, but (4) which has not yet blossomed into an actual cause of action. (See *Olszewski v. Scripps Health* (2003) 30 Cal.4<sup>th</sup> 798, 807-808.) Of course, as with other equitable actions, the trial court has discretion not to act where the court feels it is neither necessary nor proper to do so. (CCP §1061.) For example, if there exists a straightforward civil remedy for the alleged wrong, or no legal basis for relief at all, declaratory relief is generally not warranted. (See *Filarsky v. Superior Court* (2002) 28 Cal.4<sup>th</sup> 419, 433; *Westamerica Bank v. City of Berkeley* (2011) 201 Cal.App.4<sup>th</sup> 598, 614.) Plaintiff seems to be requesting a declaration that the subject property is “vested in plaintiff alone” – but does that mean he owns the house and no encumbrance exists at all? Clearly that cannot be what plaintiff is seeking.

Although this Court is granting plaintiff leave to amend, it is important for plaintiff to understand that *Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4<sup>th</sup> 919, did not create a blanket right to challenge assignments. Quite the contrary, plaintiff can only sue for wrongful foreclosure if the challenged assignments are void, and the facts plead here do not show void assignments. (See *Morris v. JPMorgan Chase Bank, N.A.* (2022) 78 Cal.App.5<sup>th</sup> 279; *Kalnoki v. First American Trustee Servicing Solutions, LLC* (2017) 8 Cal.App.5<sup>th</sup> 23; *Mendoza v. JPMorgan Chase Bank, N.A.* (2016) 6 Cal.App.5<sup>th</sup> 802; *Yhudai v. IMPAC Funding Corp.* (2016) 1 Cal.App.5<sup>th</sup> 1252; *Saterback v. JPMorgan Chase Bank, N.A.*, (2016) 245 Cal.App.4<sup>th</sup> 808.)

On the assumption that a First Amended Complaint will be on file within 30 days, the demurrer filed by FCI Lender Services, set for hearing on 09/02/22, may be moot.

The Clerk shall provide notice of this Ruling to the parties forthwith. Defendants to prepare formal Orders pursuant to Rule of Court 3.1312 in conformity with these rulings.

# **HUA DENG v. HASTON**

**21CV45684**

## **DEFENDANT’S MOTION TO SET ASIDE DEFAULT/JUDGMENT**

This is a civil action for trespass. Before the Court this day is a motion by defendant to set aside this Court’s 02/24/22 default judgment.

Pursuant to Calaveras County Superior Court Local Rule 3.3.7 (adopted 1/1/18), “all matters noticed for the Law & Motion calendar shall include” specified language in the Notice of Motion, and “failure to include this language in the notice may be a basis for the Court to deny the motion.” Based on plaintiff’s failure to include the required language, the motion is DENIED, without prejudice to refile, to the extent it otherwise is timely and appropriate pursuant to relevant statutes.

The Clerk shall provide notice of this Ruling to the parties forthwith. No further formal order is required. (In the interim, the parties are strongly encouraged to meet and confer in the hopes of finding some resolution to this issue given (1) the absence of a declaration of due diligence validating sub-service, and (2) the strong preference for cases to be tried on their merits.

[See *Lasalle v. Vogel* (2019) 36 Cal.App.5th 127, 134; *Rodriguez v. Cho* (2015) 236 Cal.App.4th 742, 750; *Giorgio v. Synergy Mgmt. Group, LLC* (2014) 231 Cal.App.4th 241, 248-249; *Trackman v. Kenney* (2010) 187 Cal.App.4th 175, 185.])